

ACC501 Business Finance

Composed By Faheem Saqib

A mega File of Long solved Qustions

For more Help Rep At

Faheem_saqib2003@yahoo.com

Faheem.saqib2003@gmail.com

0334-6034849

Short Questions Answers of ACC501

What is the basic goal of a corporation?
Answer: The traditional answer is that the managers of the corporation are obliged to make efforts to maximize shareholder wealth. Alternatively, the goal of the financial manager is to maximize the current value per share of the existing stock.

Question: What is the difference between Gross Working Capital and Net Working Capital?

Answer: The term Gross Working Capital refers to total current assets whereas Net Working Capital is equal to total current assets minus total current liabilities.

Question: What role a Financial Manager is supposed to play ?

Answer: To create value, the financial manager should: - try to make smart investment decisions. - try to make smart financing decisions.

Question: How many kinds are there of business structures?

Answer: There are three main kinds of business structures: - Sole-proprietorship - Partnership - Corporation

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Question: What kind of roles Treasure and Controller play under Chief Financial Officer (CFO)?

Answer: A treasurer plays role of a financial manager whereas a controller plays role of an accountant.

Question: Is Finance important for other areas of the firm?

Answer: Yes, Finance is as important for other areas as it is for the finance section of a firm.

Question: What are the four basic areas of Finance?

Answer: Four basic areas of Finance include: - Business Finance - Investment - Financial Institution - International Finance

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Question: What ultimate objective should be achieved by making a capital structure?

Answer: The ultimate objective while making a capital structure is to maximize the overall value of the firm.

Question: What is meant by the term "Capital Budgeting"?

Answer: Capital Budgeting is the process of planning expenditures on assets whose cash flows are expected to extend beyond one year. In other words, the process of planning and managing a firm's long-term investments.

Question: How the business structure "Sole-Proprietorship" will be defined?

Answer: A sole proprietorship is a business owned and operated by one individual.

Question: How the business structure "Partnership" will be defined?

Answer: An unincorporated business owned by two or more persons.

Question: How the business structure "Corporation" will be defined?

Answer: A legal entity created by a state, separate and distinct from its owners and managers, having unlimited life, easy transferability of ownership, and limited liability.

Question No: 43 (Marks: 3)

Write down the components of total return in terms of dividend growth model. Answer

R = D1 /P0 + g

This tells us that the total return, R, has two components

D1/P0 is called the **Dividend Yield**. Because this is calculated as the expected cash dividend by the current price, it is conceptually similar to the current yield on a bond

Growth rate, g, is also the rate at which the stock price grows. So it can be interpreted as **capital gains yield**

Question No: 44 (Marks: 3)

What is the difference between operating cycle and cash cycle?

The operating cycle is the sum of the inventory and receivable periods

Operating cycle = Inventory period + Receivable period

Cash cycle

•The time between cash disbursement and cash collection. (We spend cash on day 30, but don't collect until day 105. so we have to arrange finances $1,000 for 105 - 30 = 75 days)

•So we can describe the cash cycle as:

Cash cycle = Operating cycle - Accounts payable period

75 days = 105 days - 30 days

Question No: 45 (Marks: 3)

How a firm s overall cost of capital is calculated ?

We know that a firm's overall cost of capital will reflect the required return on the firm's assets as a whole.

•Given that a firms uses both debt and equity capital, this overall cost of capital will be a mixture of the returns needed to compensate its creditors and stockholders.

•Cost of capital will reflect

•Cost of equity capital

•Cost of debt capital

Cost of Equity

Question No: 46 (Marks: 5)

Define the following terms:

(i) Dealer

An agent who buys and sells securities from a maintained inventory

It stands ready to buy securities from investors wishing to sell them and sells securities to investors

wishing to buy them

(ii) Broker

An agent who arranges security transactions among investors, matching investors wishing to buy securities with investors wishing to sell securities

They do not buy or sell securities for their own accounts. Facilitating trades others is their business

BC Manufacturing Company
Year ended December 31, 2009

- Sales Rs.80,000,000
- Gross profit margin 80%
- Operating profit margin 35%
- Net profit margin 8%
- Return on total assets 16%
- Return on common equity 20%
- Total assets turnover 2
- Average collection period 70 days

1. **Requirement no 1.** Calculate the value for Gross profit?

2. **Solution**
   a) Gross profit = sale - cost of goods sold
   b) Gross profit = 80,000,000 – 160,00,000
   c) Gross profit = 64,000,000

3. **Requirement no 2.** Calculate the value for Cost of goods sold?

4. **Solution**
    a) Gross profit margin ratio = (revenue – cost of goods sold)/revenue
    b) 8/100 = (80,000,000 – cost of goods sold)/80,000,000
    c) 8/100 * 80,000,000 = 80,000,000 – cost of goods sold
    d) 64000000 = 80,000,000 – cost of goods sold
    e) Cost of goods sold = 80,000,000-640,00,000
    f) Cost of Goods Sold = 160,00,000

5 Requirement no 3. Calculate the value for operating profit margin?

6. **Solution**
    a) Operating profit margin = operating income / revenue
    b) 35/100 = operating income / 80,000,000
    c) 35/100 *80,000,000 = operating income
    d) Operating income = 280,00,000

7 **Requirement no 4.** Calculate the value for Operating expenses?

8 **Solution**
    a) Operating expenses = (gross profit – operating income)
    b) Operating expenses = 640,00,000 – 280,00,000
    c) Operating expenses = 360,00,000
    d) Net profit margin = Net profit(after tax) / revenue * 100
    e) 0.8 = Net profit (after tax) / 80,000,000
    f) 0.8*80,000,000 = Net profit (after tax)
    g) Net profit (after tax) = 64,00,000

9. **Requirement no 5.** Calculate the value for Earnings available for common stockholders?

10. **Solution**
    a) Earnings available for common stockholders = Net profit (after tax) = 6400000
    b) Return on assets = Net income / Total assets
    c) 16/100 = 28000000 / Total assets

13 **Requirement no 6.** Calculate the value for total assets?

14 **Solution**

a) Since operating income is also called net income
b) Total assets = 280,00,000 / (16/100)
c) Total assets = 1750,00,000

15 **Requirement no 7.** Calculate the return on common equity?

16 **Solution**

a) Return on Common Equity = Net income(after tax) / share holder's equity
b) 20/100 = 64,00,000 / share holder's equity
c) Share Holder's Equity = 6400000 / 0.2
d) Share Holder's Equity = 32000000
e) Total Asset turnover = Sales / Average Total Assets

f) 2 = 80,000,000 / Average Total Assets

g) Average Total Assets = 80,000,000 / 2

h) Average Total Assets = 400,00,000

17. **Requirement no 8.** Calculate the Account Receivable, assuming 360 days in a financial year?

18. **Solution**

a) Average Collection Period = (Days * Account Receivable)/Credit Sale

b) We assume total sale as Credit Sale

c) 7 days = (360 * Account Receivable) /80,000,000

d) 80,000,000 * 7 = 360 * Account Receivable

e) 80,000,000 * 7 / 360 = account receivable

f) Account Receivable = 15,55,555

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liability.

19

Assignment-Acc-501

ID-mc100402142

ABC Manufacturing Company

Year ended December 31, 2009

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u) 80,000,000 * 7 = 360 * Account Receivable

v) 80,000,000 * 7 / 360 = account receivable

w) Account Receivable = 15,55,555

yntax Corporation has the following capital structure:

Debentures = $ 3.26 Billion

Common shares = $ 6.52 Billion

Total = $ 9.78 Billion

The corporation has no preferred stocks in its capital structure. Under the prevailing market conditions, financial analysts have estimated a return of 13% p.a for common share of the corporation. Debentures carry an interest rate of 9.5%. Corporate tax rate is 39%. What weighted average cost of capital would you suggest for the corporation. Your suggestion should be supported by all necessary calculations. (5)

Solution

Case: 01

Syntax Corporation:

Given Information:

Debentures (D) **$ 3.26 Billion**

Common shares (E) **$ 6.52 Billion**

Total Capital Structure including debt and equity (V) **$ 9.78 Billion**

Return on common stock 13.0 %

Return on debenture 9.5 %

Corporate Tax 39 %

Weighted average cost of capital (WACC) **?**

Weighted average cost of capital = (Equity / Total Capital)*Cost of Retained earning + (Debt / Total Capital) * Cost of debt (1 – Corporate tax rate)

WACC = (E/V) * Re + (D/V)*Rd (1 – T)

= ($ 6.52 billion / $ 9.78 billion)* 13% + ($ 3.26 billion / $ 9.78 billion)*9.5 %(1 – 39%)

= (.6667)*.13 + (.3333)*.095(.61)

= .086671 + .019314

= .105985

= 10.5985%

= 10.60%

The total weighted average cost of capital for **Syntax Corporation is 10.60%.It means the Syntax Corporation must have to earn 10.60% on its assets.**

Question # 1 :

Question # 1 : **(10)**

Each of the following mutually exclusive investment projects involves an initial outlay of Rs. 240,000. The estimated net cash flows for the projects are as follows:

Year	Cash Flows (Rs.)	
	Project A	**Project B**
1	140,000	20,000
2	80,000	40,000
3	60,000	60,000
4	20,000	100,000
5	20,000	180,000

The company's required rate of return is **11 percent**.

Required:

Calculate the ***NPV*** and ***IRR*** for both projects. Which project should be chosen and Why?

PROJECT A:

Net Present Value (NPV):

$$NPV = -I_o + [CF_1/(1+r)] + [CF_2/(1+r)^2] + [CF_3/(1+r)^3] + [CF_4/(1+r)^4] + [CF_5/(1+r)^5]$$

$$= -240{,}000 + [\,140{,}000 / (1.11)\,] + [\,80{,}000 / (1.11)^2\,] + [\,60{,}000 / (1.11)^3\,] + [\,20{,}000 / (1.11)^4\,] + [\,20{,}000 / (1.11)^5\,]$$

$$= -240{,}000 + (\,140{,}000 / 1.11) + (\,80{,}000 / 1.2321\,) + (\,60{,}000 / 1.3676\,) + (\,20{,}000 / 1.5181\,) + (20{,}000 / 1.6851\,)$$

$$= -240{,}000 + 126{,}126 + 64{,}930 + 43{,}872 + 13{,}174 + 11869$$

$$= -240{,}000 + 259{,}971$$

NPV = Rs. 19,971

Internal Rate of Return (IRR):

IRR can be calculated by trial and error method:

At 11 % discount rate:

NPV = Rs. 19,971 (calculated above)

At 13 % discount rate:

NPV = -240,000+[140,000/(1.13)]+[80,000/$(1.13)^2$]+[60,000/$(1.13)^3$]+[20,000/$(1.13)^4$]+[20,000/$(1.13)^5$]

= - 240,000 + 123,894 + 62,652 + 41,583 + 12,266 + 10,855

= - 240,000 + 251,250

= Rs. 11,250

At 15 % discount rate:

NPV = -240,000+[140,000/(1.15)]+[80,000/$(1.15)^2$]+[60,000/$(1.15)^3$]+[20,000/$(1.15)^4$]+[20,000/$(1.15)^5$]

= - 240,000 + 121,739 + 60,491 + 39,450 + 11,435 + 9,944

= - 240,000 + 243,059

= Rs. 3,059

At 17 % discount rate:

NPV = -240,000+[140,000/(1.17)]+[80,000/$(1.17)^2$]+[60,000/$(1.17)^3$]+[20,000/$(1.17)^4$]+[20,000/$(1.17)^5$]

= - 240,000 + 119,658 + 58,441 + 37,463 + 10,673 + 9,122

= - 240,000 + 235,357

= Rs. - 4643

NPV appears to be zero **between 15% and 17%,** so IRR is somewhere in that range. With a little effort we can find that the IRR is about 15.79 %

IRR = Lower discount Rate + Difference between the two discount rates x (NPV at lower discounted rate / absolute difference between the NPVs of the two discount rates)

= 15 + (17 – 15) x (3,059 / (3,059 – (- 4643))

= 15 + 2 x (3,059 / 7,702)

= 15 + 2 x 0.3972

= 15 + 0.7944

IRR = 15.79 %

PROJECT B:

Net Present Value:

$NPV = - I_o \ [CF_1/(1+r)] + [CF_2/(1+r)^2] + [CF_3/(1+r)^3] + [CF_4/(1+r)^4] + [CF_5/(1+r)^5]$

$= - 240,000 + [20,000 / (1.11)] + [40,000 / (1.11)^2] + [60,000 / (1.11)^3]$
$+ [100,000 / (1.11)^4] + [180,000 / (1.11)^5]$

= -240,000 + (20,000 / 1.11) + (40,000 / 1.2321) + (60,000 / 1.3676)
+ (100,000 / 1.5181) + (180,000 / 1.6851)

= - 240,000 + 18,018 + 32,465 + 43,872 + 65,872 + 106,819

NPV = - 240,000 + 267,046

NPV = Rs. 27,046

Internal Rate of Return (IRR):

IRR can be calculated by trial and error method:

At 11 % discount rate:

NPV = Rs. 27,046 (calculated above)

At 13 % discount rate:

NPV = $-240,000+[20,000/(1.13)]+[40,000/(1.13)^2]+[60,000/(1.13)^3]+[100,000/(1.13)^4]+[180,000/(1.13)^5]$

= - 240,000 + 17,699 + 31,326 + 41,583 + 61,331 + 97,699

= - 240,000 + 249,638

= Rs. 9,638

At 15 % discount rate:

NPV = $-240,000+[20,000/(1.15)]+[40,000/(1.15)^2]+[60,000/(1.15)^3]+[100,000/(1.15)^4]+[180,000/(1.15)^5]$

= - 240,000 + 17,391 + 30,246 + 39,450 + 57,176 + 89,494

= - 240,000 + 233,757

= Rs. – 6,243

NPV appears to be zero **between 13% and 15%,** so IRR is somewhere in that range. With a little effort we can find that the IRR is about 14.21 %

IRR = Lower discount Rate + Difference between the two discount rates x (NPV at lower discounted rate / absolute difference between the NPVs of the two discount rates)

= 13 + (15 – 13) x (9,638 / (9,638 – (- 6243))

= 13 + 2 x (9,638 / 15,881)

= 13 + 2 x 0.6069

= 13 + 1.2138

IRR = 14.21 %

CONCLUSION:

Project A has NPV of Rs.19,971 and IRR for the project is 15.78 %.

Project B has NPV of Rs. 27,046 and IRR for the project is 14.19 %.

On the basis of these findings, It can be observed that according to IRR both projects are good because required rate of return for both projects is less than IRR but the company should go for Project B as it has a higher NPV.

Question:

Following are some information about SNT Company:

- Company just paid a dividend of Rs.2 per share.
- Company has a share price of Rs.30.
- The dividends are expected to grow @ 10% forever.
- Company has Rs.75 million in equity and Rs.75 million in debt in its total capital.
- The tax rate for the firm is 35% and the Cost of debt is 8%.

Required:

Calculate the Weighted Average Cost of Capital (WACC) for SNT Company.

Solution:

Cost of Equity:

P_0 = Rs. 30

G = 10%

D_0 = Rs. 2

So,

$P_0 = D_0 (1+g) / R_E – g$

$30 = 2 (1.10) / R_E – 0.10$

$30 (R_E - 0.10) = 2.20$

$30R_E - 3.0 = 2.20$

$30R_E = 5.20$

$R_E = 5.20/30$

R_E = 0.1733 or 17.33%

WACC:

Equity = E = Rs. 75 Million

Debt = D = Rs. 75 Million

Total = V = Rs. 150 Million

T_c = 35%

R_E = 17.33%

R_D = 8%

WACC = ?

WACC = $(E/V) \times R_e + [(D/V) \times R_D \times 1 - T_C]$

WACC = $(75/150) \times 0.1733 + [(75/150) \times 0.08 \times 1 - 0.35]$

WACC = $0.50 \times 0.1733 + [0.50 \times 0.08 \times 0.65]$

WACC = $0.08665 + [0.040 \times 0.65]$

WACC = $0.08665 + 0.0260$

WACC = 0.1127 or 11.27%

Question: **Marks: 10**

The following data is from Saratoga Farms Inc. 2004 financial statements.

Sales	=	$ 2,000,000
Net Income	=	$ 200,000
Total Assets	=	$ 1,000,000
Debt to Total Asset Ration	=	60

Required

a) Construct and solve the Dupont equation for Saratoga Farms.
b) What will be the impact on ROE if Debt to Total Assets Ratio were 20%?

Solution:

a) Dupont Equation

Dupont equation is used to judge the impact of operational efficiency and effectiveness on the return on equity and assets or we can say on the overall performance of the company. The Dupont equation can be obtained by decomposing the ROE. It can be achieved through following way:

$$ROE = \frac{\text{Net Income}}{\text{Total Equity}}$$

Multiplying it by Assets / Assets (without changing anything)

$$ROE = \frac{\text{Net Income}}{\text{Total Equity}} = \frac{\text{Net Income}}{\text{Total Equity}} \times \frac{\text{Assets}}{\text{Assets}}$$

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$$ROE = \frac{\text{Net Income}}{\text{Assets}} \times \frac{\text{Assets}}{\text{Total Equity}}$$

So, we have expressed ROE as a product of two other ratios – ROA and the equity multiplier

ROE = ROA x Equity multiplier

= ROA x (1 + Debt-Equity ratio)

Now we will calculate the for the above date using Dupont Approach;

ROE = ROA x Equity Multiplier

$$ROE = \frac{\text{Net Income}}{\text{Net Sales}} \times \frac{\text{Net Sales}}{\text{Assets}} \times \frac{\text{Assets}}{\text{Equity}}$$

We can find equity by total debt to total assets ratio i.e. 60%. That means the equity to assets is 40%. In Absolute values it is (1,000,000 x 0.40) = 400,000

So by putting the values in equation we may get,

$$ROE = \frac{200,000}{2,000,000} \times \frac{2,000,000}{1,000,000} \times \frac{1,000,000}{400,000}$$

ROE = 0.50 or 50 %

b) Now if debt to total asset ratio is 20%

If debt to total assets ratio is 20% that means that now equity is 80% of the total assets i.e. 800,000. The new ROE will be as follows:

$$ROE = \frac{\text{Net Income}}{\text{Net Sales}} \times \frac{\text{Net Sales}}{\text{Assets}} \times \frac{\text{Assets}}{\text{Equity}}$$

$$ROE = \frac{200,000}{2,000,000} \times \frac{2,000,000}{1,000,000} \times \frac{1,000,000}{800,000}$$

ROE = 0.25 or 25 %

ROE will be decreased due to increase in equity.

----------**Best of Luck**----------

Time Value of Money **Marks: 10**

Question:

Greme Smith has to receive $200,000 five years from now and $100,000 seven years from now from an investment he has made. The nominal rate of interest prevailing is 12% per annum. Calculate the aggregate present value of both future cash flows for Mr. Smith.

Solution:

C_1 = $ 200,000 t_1 = 5 years

C_2 = $ 100,000 t_2 = 7 years

r = 12% p.a.

Aggregate Present Value =?

Calculate the present value for the first cash inflow;

$PV_0 = C_1 / (1+ r)^{t1}$

$PV_0 = 200,000 / (1+0.12)^5$

$PV_0 = 200,000 / (1.12)^5$

$PV_0 = 200,000 / 1.762$

$PV_0 = \$ 113,507.38$

Now calculate the present value for the second cash inflow;

$PV_0 = C_2 / (1+ r)^{t2}$

$PV_0 = 100{,}000 / (1+0.12)^7$

$PV_0 = 100{,}000 / (1.12)^7$

$PV_0 = 100{,}000 / 2.210$

$PV_0 = \$ 45{,}228.4$

The aggregate present value = \$ 113,507.38 + \$ 45,228.4

= \$ 158735.78

Question 1

Zig Zag Company has outstanding Rs.1, 000- face –value bond with a 16 percent coupon rate and 6 years remaining until final maturity. Interest payments are made quarterly. *(12)*

Required:

What would be the value of this bond if your nominal annual required rate of return is as follows?

i) ***12 percent***

ii) ***15 percent***

iii) ***18 percent?***

Solution:

Coupon of bond =C = 1,000* 0.16 = Rs. 160

As payments are made quarterly so,

C = 160 / 4 = 40

(i) 12 %

As payments are made quarterly,

r = r / 4 = 0.12 / 4 = 0.03

t = t x 4 = 6 x 4 = 24

Value of Bond= C x [1-{1/ (1+r)}^{t}]/r + F/ (1+r)^{t}

= 40 x [1- 1 / (1+0.03)^{24}]/0.03 + 1000/ (1+0.03)^{24}

= 40 x (1- 0.4919)/0.03 + 1000 / 2.0328

= 40 x 0.5081/0.03 + 491.932

= 40 x 16.9367 + 491.932

= 677.467 + 491.932

= Rs. 1169.399

Please read the following Instructions carefully before attempting the assignment solution.

- ***Assignment#01 covers Lecture 01-06***
- ***Last date for submission of Assignment is October 16, 2007.***
- ***You can consult the recommended material.***
- ***Make sure that you have uploaded the Assignment before due date. No assignment will be accepted through E-mail after the due date.***
- *Cheating or copying of assignment is strictly prohibited; No credit will be given to copied assignment.*

(Go to the next page)

Total marks: 10

Question 01

Why finance is important for business firm? (Give answer with reference to the importance of finance in different departments of a firm). *(5)*

Answer:

Finance is as important for the other areas of the business as it is important for the Finance division of the firm. it is as much important for the marketing department, for general manger and for the accountant as it is for the financial manger like;

Marketing manger must need to know the budget to undertake the activities of the project; they must need to look at the expenditures and revenues of the particular project.

Marketers have to make the cost-benefit analysis; they have to cover the aspects like,

- ***the impact of the project on the other product of the firm***
- ***the future benefits of the project.***

Marketing research needs funds along with the personal efforts of the researchers, surveys undertaking need money. They must decide about the distribution channel, they select the channel in cost perspective. What price would be charged to the final product? All these questions have to answer by the marketing manger.

So the marketing manger's major decisions revolve around the finance.

Management decisions either relevant to marketing, human resource management or finance all need to know finance.

Strategic management decisions most based on finance the manger cannot implement a single plan unless it is financially viable.

Question 02

What is difference between a controller and a treasurer? *(3)*

Answer:

Controller has the responsibility of the Accounting section (Head of the Accounting Section) prepare financial statements. Treasurer is the head of the Finance section and plays the role of financial manager. Look at from where to generate funds and how to invest them.

Question 03

What are the key questions answered by the subject of Business Finance? *(2)*

Answer:

Capital budgeting: ***where to invest in the long run?***

Capital structure: ***from where to raise funds? What should be the ratio of equity and borrowed money?***

Working capital management: ***how to mange working capital?***

Q: define fisher effect
Answer: _ **the Fisher Effect**
The relationship between real and nominal returns is described by the Fisher Effect. Let:
R = the nominal return
r = the real return
h = the inflation rate.

Q: find compound interest
Answer: _ if interest is left in the account to accumulate for a longer period (usually longer than one year), common practice requires that after interest is earned and credited for a given period, the new sum of principal + interest must now earn interest for the next period, etc. This is **compound interest**.

Q: find out real rate...
Answer: _ **Real Rate of Interest**
· When real rate is high; all interest rates will tend to be higher and vice versa.
· Thus real rate does not really determine the shape of the term structure rather it influences the overall level of interest rates

Q) "An investment is acceptable if the IRR exceeds the required return. It should be rejected otherwise." Explain.

ANSWER: •Now for our example, NPV for the investment at discount rate R is:
NPV = -$100 + 110/(1 + R)
•Now if we don't know the discount rate, it represents a problem. But still we could ask, how high the
discount rate would have to be before this project was unacceptable.
•The investment is economically a break-even proposition when the NPV is zero because the value is
neither created nor destroyed.
•To find the break-even discount rate, we set NPV equal to zero and solve for R
NPV = 0 = -$100 + 110/(1 + R)]
$100 = $110/(1 + R)
1 + R = $110/100 = 1.10
R = 10%
•This 10% is what we already have called the return on this investment.

acc501 paper May 12, 2011

acc501 business finance ka paper tha aj

ojb start ke chap mein se tha ... but almost sub mein se tha ... ratios mein se numericals tha ...

aik profit margin, roe wala numerical tha subjective mein...

benchmarking aur bonds aur valueing bonds zaroor parh lyna ... interest rate ka numerical tha ... nomial rate aur return rate mein diffenece aya tha ...

best of luck to all of u for papers

My paper of today:
Q:1 What are the basic three determinants of term structure? 3Marks

Q:2 According to Du Pont Identity What are the tree things by which ROE is affected? 3Marks

Q:3 Why financial statements are standardized and how it done? 3Marks

Q:4 SNT Inc bond have a Rs.1000 Future Value. The promised annual coupon is Rs.80 and the bond mature in 15years. The market required return on similar bond is 10%. Calculate the Value of bond and weather it is Discount bond or Premium bond? 5Marks

Mostly objectives were short numerical like ROA, compound interest, Annuities, etc. (from old papers and quiz also).

Simple interest calculation numerical

U want to deposit 10,000 in bank at interest rate 8% what will b the amount after 4 years if bank offers simple interest rate 3 marks

Define benchmarking 5 marks

Define debt and equity 5 marks

What are the contents of the indentures 3 marks

Question # 1 (3 Marks)
Method of Calculating Yield to Maturity?
Question # 2 (3 Marks)
what is meant by total vu39 assets management ratios? name any common ratio under this category?
Question # 3 (5 marks)
Bond valuation Numerical question, given from discount bond valuation.?
Question Material:
face value = 1000
annual coupon = 80
t = 15 years
Market value of the identical bond = 10%
Question # 4 (5 Marks)
Find the debt equity? when profit margin ratio = 10%, Total Assets Turnover = 1.35times, ROE = 15.70%.

all the above are the subjective questions with mixed objective questions, mostly from the bond valuation, Ratios, Ending 5 chapters are more important for objective Purpose.

Question # 1 (3 Marks)
Method of Calculating Yield to Maturity?
Question # 2 (3 Marks)
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Find the debt equity? when profit margin ratio = 10%, Total Assets Turnover = 1.35times, ROE = 15.70%.

My paper:

total qsns =27

MCQ's = 22

short qsns = 5

3 marks = 3 qsns

5 marks = 2 qsns.

1. What do profitability ratios measure? Name commonly used ratios used in this regard. (3)
2. Write down the content of bond indenture. (3)
3.
4. Why the present value of an ordinary annuity is less than that of an annuity due? (3)
5. Write internal and external uses of financial statements information. (5)
6. Find out the current price of the stock in the following case: (5)

(a). Mr Asad buys a share of stock today, with a plan to sell it in a year. its worth will be Rs. 90 at that time. along with a dividend payment of Rs. 10 per share. Required Rate of return on investment is 25%.

(b). SNT corporation has policy of paying @Rs 15 per share dividend per year. This policy is to continue definitely with a required rate of return of 20%.

A company has total annual sales (25% on cash basis) of Rs.3,000,000 and a gross profit margin of 20 %. Its current assets are Rs. 500,000; current liabilities are Rs. 340,000; inventories are Rs. 260,000; and cash is Rs. 60,000. Calculate: (a) How much average inventory should be carried if management wants the inventory turnover to be 5 times? and (b) How rapidly (in how many days) must accounts receivable be collected if management wants to have an average of Rs.240,000 invested in receivables? (Assume a 365-day year.)

Mid term examination Fall 2011

My today paper of ACC501

There were 32 questions having total 45 marks

29 MCQ 2 Numerical and 2 subjective questions

most of the MCQs were from Lecture no 08 to onward

Q no 29: What is the difference between nominal and real rate of return? 3 marks

Q No: 30: if the equity multiplier is 1.60 profit margin 8% and total annual turnover is 1.32 find the ROE?

Q No 31: Compare the return on stock bond and risk on stock bond? 5 marks

Q 32: I forgot the values but numerical was about **maximum sustainable rate of growth?**

Ist dec
Difference between debt and equity marks3
Difference between real and nominal rate marks5
One is relate to debt equity ratio formula marks3
why is the rate of ordinary equity is less then annuity due marks3
and mcqs are all about the formula of ratio's
why an ordinary annuity is less than annuity due marks 3
Difference between semiannual and quarterly coupon bonds marks 3
What is meant by protective covenant. How it can be classified.Describe in detail marks 5
ROA 8 percent, dividend payout ratio 30 percent, profit margin is 5 percent. calculate maximum sustainable rate. marks 5
$acc501 midterm nov 2011 paper & share ur paper$

ppr bht easy tha mcqs bi bht easy thy
total 32 qtn
28 mcqs
short qtn
fisher effect with example
why ordinary annuity is less than the annuity due
internal and external use of financial statement
bond wit face value $1000 coupon rate 80 with 10 % maturity a for the 15 years
calculate bond valuE

acc501 current today papers upalod no

My paper was awesome
total 32 question
28 mcqs which were mostly from ratio analysis and BONDS related
long question were

1: dividend payout and retention ratio and their relationship
2: calculation of real interest rate when nominal rate and inflation was given.
3: how we calculate the yield to maturity of a bond
4:FV calculation ? when principal was 12000 and 9% interest rate four years investment period.

28 MCQs
difference between public issued bond and public bond (3)
why value of ordinary annuity is less than due annuity? (3)
What is dividend payout and retension ratio? and their relationship? (5)
calculate real rate if
a) Nominal rate is 15% and inflation rate is 6%
b)Nominal rate is 12% and inflation rate is 5%

what is optimal credit policy state? 3
what is difference between market value and book value? 3
how cost of debt can be measured? 3
define benchmarking and its method? 5
find out portfolio? 5
find out capita gain and dividend yeild and total percentage of return? 5
describe difference type of firm's inventory and retail business? 5
what is the best cash policy

paper consists of 69 Questions
out of which 62 are multiple choice. out of which some are from Past papers.

ACC501 CurReNT PAPER FINAL TRM FEBRUARY 2011

Question having total marks 03. are

1- What does "Stand alone principle" state.
2- What does "Optimal credit Policy" state
3- Identify systematic and unsystematic risk from followings
1- Interest Rate
2- Strike call in a company
3- Gross Domestic product

Question having total marks 05. are

1- Prepare a Projected income statement
2- Define the term"Bankruptcy" and types of Bankruptcy cost.
3- Prepare liquid Ratios from a given Balance sheet
4- Define following Terms:
1- Operating Cycle
2- Cash cycle
3- Inventory Period
4- A/R Period
5- A/P Period

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what is optimal credit policy state? 3
what is difference between market value and book value? 3
how cost of debt can be measured? 3
define benchmarking and its method? 5
find out portfolio? 5
find out capita gain and dividend yeild and total percentage of return? 5
describe difference type of firm's inventory and retail business? 5
what is the best cash policy